MMPM – 003
Product and Brand Management

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Block

4

MANAGING BRAND EQUITY

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The fourth block is primarily devoted to brand equity and how the firm should manage and enhance its brand equity is the essence of this block.

The first unit discusses the design and development of brand building programmes with a view to enhance the brand equity by employing integrated marketing communication to strengthen brand associations.

The second unit focuses on the strategy development of how to build the brand globally. The various approaches to building global brands are touched upon. Besides the decision of choosing the right marketing strategies in a global context is also emphasized.

The final unit is characterized by the need for brand equity measurement and the approaches involved in measuring and tracking brand equity position or status.

UNIT 13 ENHANCING BRAND EQUITY

Objectives

After reading this unit you should be able to:

- understand how to design and develop brand building programmes
- discuss how brand differentiation can be sustained
- learn how integrated marketing communication helps to strengthen brand associations.
- crisis

Structure

13.1 INTRODUCTION

Launching a Brand with a clear brand identity and positioning is only the first step in building strong brand equity. Aaker has defined brand equity as "the set of assets (and liabilities) linked to a brand's name and symbol that adds to (or subtracts) from the value provided by a product or service to a firm and/or that firms' customers" (Aaker, 2002). These assets which add value and create equity include Brand Awareness, Perceived Quality, Brand Associations, Brand Loyalty and Other Proprietary Brand Assets (patents, channel relationships etc) (Aaker, 2002). Each of these aspects of brand equity needs to be managed and strengthened to enhance the brand equity and thereby the value generated for the brand's customers and the firm. The outcome of a successful branding strategy would be a brand that is connected to customers and deeply resonates with them leading to high levels of engagement, loyalty, love and commitment.

In order to establish and maintain resonance with its customers, a brand must ensure that it continues to have salience in its category. It must not only be recognized but it must also be remembered and recalled by the customer in the relevant product/ service category. Mere recognition of a brand name or its logo is not enough. The brand must strive to ensure that its customers have the right knowledge about what the brand stands for or what it can do for them.

In order to build on each of the above aspects, brands need to focus on the following

13.2 BRAND FOUNDATION - AUTHENTICITY AND BELIEVABILITY

A strong brand needs to command both love and respect. In order to build a good branding strategy, it is important to focus on the principles of authenticity and believability.

Authenticity

Authenticity implies that a brand remains true to its purpose and true to its promise. A brand is after all best defined as a promise to the customer. And this promise has to be real and true. A brand also needs to stand for something. It is important to define the raison d'etre for a brand in terms of its fundamental beliefs and values. The questions a brand needs to answer are- What is its place in the world, what defines the brand at its very core? Today's customers care about the brands that care! And they are quick to reject fakes. Lip service to a cause is not acceptable. The brand has to embody its purpose and values in everything it does. To quote Simon Sinek, "People don't buy what you do; they buy *why* you do it". Authenticity can also be a significant differentiator for a brand. Body shop stands for "Enrich not Exploit" and has carried this philosophy right through its product formulation, manufacturing, packaging, retail experience, employee hiring and community engagement. Their products are made from natural ingredients and the brand believes in fair trade practices and in protecting the environment.

The Indian ayurvedic brand Patanjali was able to carve a space for itself in the FMCG market because it built on its core of ayurvedic origins and focus on natural ingredients. As the brand stretches its portfolio, it has to take care that it does not dilute its core promise and identity. It is also imperative that the brand which has taken a strong pro natural, anti artificial positioning delivers on this promise. A recent controversy damaged the authenticity of its brand promise when a CSE study in 2020, reported 13 of the biggest brands of packaged honey in India, including Patanjali were adulterated with sugar syrup (Das, 2020). Another case in point is Dove which was built on the functional positioning of cleansing without drying as the bar contained 1/4th moisturizing cream. However, as the Dove brand grew and expanded its offerings to other hair care and skincare products, it needed to go beyond functional benefits. It needed to find a deeper meaning to connect with customers. In 2004 the brand decided to espouse the concept of "real beauty". A major global study, The Real Truth About Beauty: A Global Report, had revealed that only 2% of women around the world considered themselves beautiful and societal norms of what constitutes beauty were restrictive (Etcoff et al, 2004). The "Campaign for Real Beauty" launched by Dove in 2004, focused on the message that differences in physical appearance should be celebrated and accepted. The campaign encompassed different media and showcased ordinary real women instead of airbrushed models representing stereotypical notions of beauty. The idea was to begin a discussion on the way society views beauty and to establish Dove as a brand which understands and supports women for what they are (Youtube, 2013).

Though the campaign was successful to a large extent and the brand's point of view was lauded by many, some critiques felt that the brand was only providing lip service to the notion of real beauty while it continued to sell products which were related to beauty and personal appearance. Over a period of time, the brand continued to build on the real beauty campaign and extended it beyond advertising to online videos, activities and workshops related to self-esteem, thereby gaining more acceptances.

Dove in India also follows the Dove Real Beauty Pledge (dove.com) to always feature real women, never models, to portray women as they are in real life and not digitally distort the images and to reach out to 40 million girls to build body confidence and self-esteem. Dove India launched the #Stop The Beauty Test campaign on TV and social media (see Take the pledge to #Stop The Beauty Test (youtube, 2021). The brand also collaborated with Vogue India and the fashion photographer Mario Testino where in Testino photographed six Indian women, who, for Dove, "redefine what it means to be beautiful – helping Indian women realise their beauty potential, whatever their age, body shape, skin tone or hair colour" (dove.com.in).

Box 1: Dove Real Beauty

#StopTheBeautyTest, 24 Feb, 2021,

YouTube, 24 Feb, 2021, https://www.youtube.com/watch?v=jEpTa2cMl_I

YouTube, 19 June 2013, https://www.youtube.com/watch?v=g-I4LIwe4_c

Dove Real Beauty Sketches

Believability

Believability implies that the promise a brand makes to its customers has to be meaningful and believable. There has to be a strong "reason to believe (RTB)" for the claim the brand is making. The RTB could be rational or emotional. For example, I could believe in a brand because of its ingredients, as in the case of Saffola Cooking oil, which spoke of heart care with its low PUFA content. Or belief in a brand's capability could be a result of brand heritage or country of origin as in BMW. Or the believability could stem from past customer delight and the brand image. Any product claim of technological superiority will be readily accepted by the customer if it comes from Google or Apple. The believability strengthens or weakens over time with the actual customer experience. If the brand does not match up to expectations, it starts to lose trust. Believability is as much to do with the actual reality of the brand offering as it has to do with the perception. So, brand credibility and desired associations need to be built over a period of time.

13.2.1 Levers for Enhancing Brand Equity

Crafting the Brand Identity and launching a brand successfully is only the first step in the life of the brand. They key to moving from a good to great brand is ensuring continued value and connect with the customer. In order to build on the brand's foundations, the branding strategy must encompass the following-

13.2.2 Selecting and Managing the Brand Elements

Brand elements refer to the elements like logo, symbols, characters, and social media handles etc which help to identify and differentiate the brand. These brand elements can help make a brand noticeable and memorable, thereby building awareness and recall. They may also improve like ability of the brand and support desired brand associations.

Keller (2015), has identified the following six criteria for choosing brand elements-

- Memorable- should aid easy recognition and recall
- Meaningful- should enhance relevance and help in persuasion
- Likeable- should be warm/ fun/pleasing, invoking a positive response
- Transferable- should be applicable across the range of products represented but the brand should work equally well in different geographies
- Adaptable- Should be possible to update to changed contexts
- Protectable-should be legally protected

Intel: building awareness and differentiation- In order to build awareness and customer pull for its brand of processors used in PCs and laptops, Intel created a distinctive logo "intel inside" which became a hallmark of quality for computers. It created awareness of intel, a brand which is sold to the computer manufacturing firms and is not visible to the consumer. Through the use of the intel inside logo on the computers and in advertisements, Intel was able to differentiate itself from other brands and also build associations of being the "brain in the computer". In addition to the logo the distinctive sound used in the brand communication, helped make it memorable for the customer. In terms of the product offerings, intel processors were generally named numerically, for instance 486, 486, etc. However, these were not very meaningful for consumers and very importantly these were also not legally protectable. Competing brands could sell their processors of same or older generation with similar names thereby eroding intel's differentiation. Therefore, intel decided to create unique brand names for each of its processors, starting with Pentium which connoted 5th generation technology, sounded scientific and like an ingredient due to the use of "ium" and was legally protectable and unique to intel. For consumers it was also easy to understand and remember (intel.com). The brand name intel Pentium was also acceptable in different parts of the world.

The Amul Girl- The Amul girl is one of India's most loved brand mascots. The Amul girl was created by Eustace Fernandes, the art director of DaCunha Communications in 1966, and the tagline "Utterly Butterly" was coined by Nisha DaCunha. Both have endured over the years, helping make Amul a household brand with very high awareness and popularity. The Amul girl particularly has helped keep the brand updated by offering tongue in cheek comments on contemporary issues ranging from sporting events to political decisions to social causes (Pal, 2016).

1.1.3 Delivering on the Brand Promise and Maintaining Differentiation

Delivering on the brand promise is non-negotiable if the trust and quality perception of the customers is to be maintained. This is a necessary step in building brand equity and in order to build differentiation and maintain consistency a brand needs to ensure the following-

- Putting systems and processes in place to deliver on the brand promise
- Ensuring a seamless customer experience

Putting Systems and Processes in Place

The key to building and sustaining brands over a period of time is to ensure that the brand delivers exactly what it promises in each and every interaction with the customer. Consistency in performance, and consistency with the brand identity, is both equally important. For the customer, affection and trust is built on the foundation that the brand is a familiar friend, one can bank on at all times. This is critical for a marketer to remember. Each brand occupies a unique space in the customer's mind and therefore not only does the brand need to be consistent in the delivery of its promise, it also needs to ensure consistency of its promise. Strong brands do not keep changing their positioning or messaging frequently. Strong brands also work hard to ensure that systems and processes are in place to provide expected or better than expected performance outcomes for the customer each and every time.

For instance Amazon could not have become such a big brand, if it had not ensured well defined processes with checks and balances to provide an experience consistent with expectations at any time and in any part of the world. Consistency does not mean that the brand does not evolve, or its attributes don't change. It merely refers to doing whatever it takes to deliver on the brand promise, whether that promise is to provide the best customer support or the promise to provide the fastest delivery, or the promise of providing the lowest cost solution.

It goes without saying that the brand offering or promise to the customer has to be desirable from the customer point of view and well differentiated from competition. It should add value and make the customer better off in terms of what they desire from the category/ experience. It doesn't help if a brand is the best in terms of some attribute or benefit which is not important for the customer. The starting point for any marketing strategy has to be the customer and what the customer wants. It is our job as brand managers to understand their needs and pain points and strive to create customer delight with our solutions. The brand has to be brutally truthful in answering the question, "Why will they buy me?" The reasons could be functional, emotional, self-expressive, or a combination of these. Insighting plays a very important part in understanding customer motivations and concerns. Getting the insight right is half the battle won! It can help you decide what to offer and how to make it appealing to the customer. The phenomenal success of Apple is almost entirely to do with the fact that it gave customers solutions which were far superior to that offered by anyone else. Unquestioned functional superiority coupled with the aspiration and emotional connect with the customers is a deadly combination almost impossible to break. Desirability results from a combination of benefits, the cost and convenience to the customer, the emotional connect and the match with the desired associations. In some brands some of these would be more important than others but failure on any count could make the brand vulnerable on its desirability score.

In order to ensure consistency, desirability and differentiation the brand must be backed by systems and processes, which help it, deliver on its promise to customers, thereby leading to customer satisfaction or even customer delight. Each and every element of the marketing mix form designing the brand offering, to its pricing, distribution and communication, must work in perfect alignment.

Implementing Tajness - Taj chain of luxury hotels in India prides itself on the spirit of "Tajness' which has been built over decades of dedication towards incredible hospitality. The spirit of Tajness defines every element of the hotel, providing unparalleled customer experience which rests on the six pillars of Nobility, Sincere Care, and Homage to Local Culture, Sensorial Journeys, Pioneering Spirit, and Authenticity (tajhotels.co.uk)

The then MD and CEO of the Taj Hotels Resorts and Palaces, in an interview to the Conde Nest Traveller in 2006, explained- "Tajness is a brand promise, a philosophy and a strategy. It's actually a strategy that speaks to our operational excellence; to all our shareholders regardless of size of shareholding; to our guests; to our colleagues, to the environment, to our plan for developing and extending the footprint of the Taj in the right places The Tajness experience will focus on delivering a consistency in service and providing a taste of Indian tradition mixed with authentic local experiences. It will come to life for guests through a set of signature rituals to guide their journey from the moment of arrival."

This spirit of Tajness is implemented through the choice of properties, the décor of the hotels, the staff selection, and the design of the guest experience. While focusing on local culture, the Taj also needs to maintain its exclusivity and premiumness. Therefore, the pricing and communication strategy is also designed keeping the premium image in mind.

Ensuring a Seamless Customer Experience

Providing an end to end seamlessly perfect experience for the customer has to be one of the most important goals for a brand. The mantra is not to look at what the brand is designed to offer but instead to look at how the customer consumes the brand and where it fits into their life. Mapping the customer journey and identifying Moments of Truth help the brand to work towards customer delight. The experience is even more important today in the platform economy where there may be many players, co-created offerings, multiple channels and on demand consumption. From merely being a connector of travelers and hosts, Airbnb worked towards building curated customer experiences, right from helping them choose the right property through photographs and ratings, to suggesting tour activities in collaboration with other players to building wish lists and memories for its customers.

Airbnb- Airbnb was launched in 2008 to provide people find accommodation other than hotel rooms. People could offer rooms in their homes or the entire home to guests for payment through the Airbnb site. For guests Airbnb offered a home like ambience, personal connect, ease of booking and searching and at a price generally lower than most hotels. The hosts were able to monetize their property and earn an income through Airbnb. The platform also provided them visibility and connected them to potential guests in addition to providing the booking interface and support. With a strong value proposition, Airbnb received a positive response. In order to ensure that it delivers a great experience for both guests and hosts, Airbnb had to invest in developing a good platform to ensure ease of use, verify the properties, help people post and check reviews and testimonials and put in place a mechanism to address grievances and complaints. In 2009, the founders noticed that some properties were not getting much traction. They went to New York and visited several properties themselves. They found that many of these looked much better than the pictures put up by the hosts on the Airbnb site. They decided to hire photographers to click professional pictures and this simple investment lead to room bookings jumping up 2-3 times and doubling of monthly revenues. They then started a Photography Programme in 2010 where they on boarded professional photographers in Airbnb who property hosts could connect with. By 2012, Airbnb had over 2000 photographers covering 13000 listings across 6 continents (Chatterjee, 2016).

In order to maintain and strengthen its differentiation, Airbnb mapped the customer journey and looked at where they could add value. The brand evolved from a cheaper alternative to a hotel towards becoming a social discovery form of planning travel. So Airbnb was not only about where one stays, but also about what one does and with whom once we are there. The brand wanted to encompass the entire customer experience. But this did not mean they had to do everything themselves. They identified partners to work with and connected them in the platform to ensure a seamless experience for their customers. One such initiative involved launching Airbnb neighborhoods where they tied up with local communities to prepare itineraries and provide information about the neighborhood activities which visitors could look up depending on their interests. Airbnb also tied up with local editors and street photographers thereby curating a unique experience for the visitor.

1.1.4 Building Desired Associations and Customer Engagement

For a brand to sustain its differentiation and relevance, it needs to continuously work at building and strengthening brand associations. This can be done through the kind of customer experience provided, brand imagery, messaging, use of influencers, etc. Today with the advent of technology the possibilities and manner of connection with the customers have increased manifold. Building the right associations in line with the desired positioning and brand values, helps in creating positive evaluations and brand preferences, through strengthening of functional, emotional and/or self-expressive benefits. In order to do so a brand must find to be clear on the kind of associations it wishes to build and the kind of touch points which can be used to convey these ideas and experiences to the customer.

Taj Mahal a tea brand launched in 1966 by Unilever was positioned as a premium tea brand for connoisseurs. In order to build these associations, they decided to leverage classical music and used well renowned classical musicians to bring alive the exhilarating taste of Taj Mahal tea. This association was deepened over the years with the brand becoming synonymous with the much loved Ustad Zakir Hussain saying Wah Taj! To further build on the exclusive experience of enjoying a cup of Taj Mahal tea, the brand set up the Brooke Bond Taj Mahal Tea House in Mumbai in 2015. As per the brand's website, the Tea house is designed to appeal to "tea connoisseurs, classical live music enthusiasts, book lovers, and many an artistic soul. It features the choicest of fine Indian tea and tea blends curated by our tea sommeliers, constructed into authentic tea recipes." (www.tajmahalteahouse.com).

Surf tried to enhance its customer connect by going beyond the functional space of better cleaning of clothes to connect to the customer's life. The brand celebrated stains with its campaign of "daag achche hai" (dirt is good), focusing on how kids should be allowed to explore, play and grow without worrying about stains. Since 2005, all of Surf Excel's ads have chosen kids as their central character. In March 2021, the Executive Director & VP – Home Care, South Asia, Hindustan Unilever Ltd, explained that "We believe that children should have the freedom to get dirty, because it's only then that they can truly learn and develop. And if kids get dirty in the process of doing something good, then dirt is good." (Business insider, 2021)

Surf adopted a 360-degree approach to connect with its customers. This included advertising through traditional media like TV and print as well as online ads. The brand also leveraged designed unique sales promotions like the one where customers got a stained cloth in the pack of Surf and on washing this they could get a promo code entitling them to a gift or discount. The brand went beyond its category to help kids explore and learn. They shared information on kids' hobby classes and associated themselves with on ground activity platforms like the Kala Ghoda Arts Festivals. Surf leveraged social media also extensively. In addition to brand films on you tube as well

Over the last 15 years, Surf's communication platform has focused on the philosophy of dirt is good and has focused on children getting dirty in the process of doing something good and demonstrating good values. By enabling parents not to worry about stains, the brand became their partner in helping their children to learn. Surf followed a purpose-led philosophy to occupy a meaningful position in the customers' lives. The brand has stayed true to the philosophy but added new dimensions/ contexts over the years building a strong emotional bond with its customers. The brand moved from immediate family contexts to a larger social perspective and brought in the contexts of different festivals like Eid, Diwali and Holi, which served as a backdrop theme of helping others who are less privileged or not so lucky. These campaigns included #NekiEkIbadat, #AbLagRahiDiwali. Subsequently Surf further extended the campaign with #HaarKoHarao, reminding the kids who deal with exam pressure that failure is a part of life.

Ways to Build Desired Brand Associations:

- Product/ service design (including packaging)
- Imagery and Brand messaging
- Brand Activity platforms

While multiple means can be used to build brand associations, the brand must ensure that it adopts an integrated approach in using these means to maximize the synergy and impact of its initiatives. A well-crafted brand strategy should result in building positive attitudes towards the brands, desired quality perceptions and enhanced credibility.

Product/ Service design- This aspect largely relates to the performance of the product but also contribute to the brand's perception on other aspects such as premiumness, usage occasion etc, Cadbury shifted its association from a purely chocolate category to the gifting category through design of special gift packs for different occasions. The layout and structure of a shopping website and the kind of products / services offered influences consumer's perceptions of the brand. For example, Amazon is perceived as a trusted, value for money shopping portal.

Imagery and Brand messaging: Brand imagery relates more to the intangible aspects of the brand. The use of certain colors, visuals, type of users, purchase situations, values, heritage and experiences reflected in the brand's communication help to build desired mental image of the brand. For example, Pepsi tries to appeal to a younger target group (TG) as compared to Coke and this is reflected in the kind of situations and people shown in the Pepsi communication. Axe deodorant depicts good looking men and attractive women to highlight the aspect of desirability and masculinity.

Paper Boat beverages leverage the nostalgia factor which is reflected in their pack designs, product names as well as the advertising messaging. Use of celebrities to build certain associations is also common. The choice of celebrities however has to be done carefully to ensure that they fit the brand image and can connect with the brand's TG. Brand Imagery and messaging can also highlight purchase or usage contexts for example Cadbury commercials showing gifting of chocolate boxes on Diwali or Knorr soups suggesting serving soups during evening snack time to satisfy 'chhoti chhoti bhook" (small hunger pangs).

Brand imagery and personality are very important in certain categories like perfumes, cars etc where the brand is often a means for self-expression or for the consumer to present a desired image. This is especially true of luxury brands, where choice of brands is more on the basis of how closely the brand's image matches the self-image or desired image of the customer.

Brand Activity Platforms- Creating or associating with events and activities which reflect the brand's personality also help building desired associations. For example, Femina Miss India strengthens the perception of Femina as brand for "Women of Substance". Similarly, the Kingfisher Calendar and Kingfisher Derby strengthen associations of fun and glamour. The choice of activity platform for a brand should be based on its ability to reinforce desired brand benefits/ image, its level of appeal with the target customer and its ability to cut through competitive clutter and give visibility to the brand.

1.1.5 Deepening The Emotional Connect and Building Brand Advocates

The difference between good brands and great brands is usually in terms of the depth of relationship and emotional connect the brands have with their customers. Apple users buy the brand not only for its high quality and performance but also because they love the brand and feels that it expresses who they are. They identify with the brand and feel that it an intrinsic part of their lives, one they cannot do without. They would not like to switch to competitive brands and will generally be eager to try out new offerings from the Apple portfolio. Not only that, Apple fans usually also becomes advocates of the brand, urging others to switch to the "Apple experience".

Keller has used the term Brand Resonance to describe the extent of such a relationship. He defines resonance in terms of the intensity of the emotional connect and the outcome of this connect in terms of attachment, engagement and loyalty. Brands can look at building broadly six types of feelings- warmth, fun, excitement, security and social approval (Keller, 2015). But how brands go about building these emotional bonds? The most important step here is to keep the focus on the customers and look at them beyond their usage of the brand offerings. Understanding their lives, aspirations and worries can help a brand find to reach out to them in a meaningful way. Bringing in personalization, high levels of engagement and opportunities for conversations have been very effective in building strong relationships.

Leveraging the Power of Stories

Stories can be a strategic asset which brands can leverage to forge strong emotional bonds with its customers over time. Signature stories need to be authentic, intriguing, involving and strategic and can be used for internal and/or external branding. Stories can be motivated by a variety of heroes such as customers, employees, programs, a founder, an offering, a business revitalization strategy or a future business revitalization strategy. 3M, a brand known for innovation for instance, regularly shares stories about how innovation is encouraged in the organization along with stories of innovation successes and failures. Inviting customers to share experiences can also be a powerful way to build engagement and emotional connect.

The Maggi Bond:- Maggi has been a much loved brand in India for many years. Very early on Maggi had moved beyond its functional promise of two minute noodles to becoming a friend with whom one has many shared memories. Eating Maggi is not about just satisfying hunger pangs, it is about the special recipe one‘s mother used for Maggi or the memories of a trekking trip or the moments shared with friends in the hostel. Maggi has often reached out to its customers through its packaging, advertising as well as social media handles asking them to talk about their experiences with Maggi. One such very successful campaign was the Me and Meri Maggi campaign in 2009, where customers were asked to share their Maggi stories, and selected stories were printed on Maggi packs. These stories were also shared through TV commercials and on YouTube (Me and Meri Maggi, youtube 2009). In 2012, the campaign took another step forward by inviting people to share the moment of joy that the Maggi brought into their life. This campaign was called the ‘Meri Maggi - 2 minute mein Khushiyan’. The idea was to deepen the emotional bond and give customers a platform to share the everyday moments of happiness they have experienced with Maggi. These stories were then related by leading Bollywood actors in the Maggi TV commercial (afaqs, 2012, youtube 2012)

Box 2: Maggi Stories
Me and Meri Maggi

YouTube, 2009, https://www.youtube.com/watch?v=A5Vaki6CqM8

‘Meri Maggi - 2 minute mein Khushiyan’

YouTube, 23 June, 2012, https://www.youtube.com/watch?v=A5Vaki6CqM8

Beyond the commercials Maggi has also successfully leveraged the power of social media. Its Facebook Page Me and Meri Maggi reflects the theme of how Maggi brings people together for a happy time and this page has recorded high levels of engagement with many people sharing their pictures and stories and talking about why they love Maggi (social samosa, 7 Jan 2013). When Maggi was hit by the controversy about high levels of Monosodium Glutamate (MSG) in some of its packs, the brand voluntarily withdrew its stocks from shelves even while re-assuring customers that the product was safe., Despite Maggi and Nescafe were criticized many on social media, yet there was also a large number of consumers who defended Maggi and stood by the brand. The re-launch of Maggi Noodles on November 9, 2015, received mixed reactions on social media, but sentiment analysis of user posts indicated that the positive polarity scores were much higher than the negative polarity scores in the period November 1-30, 2015. The comments posted on Maggi's Facebook page revealed that not only were the user sentiments positive, many of them excitedly welcomed back Maggi. This is in line with theory which highlights that forgiveness by customers is one of the virtues of a strong brand (Mishra and Sharma, 2019).

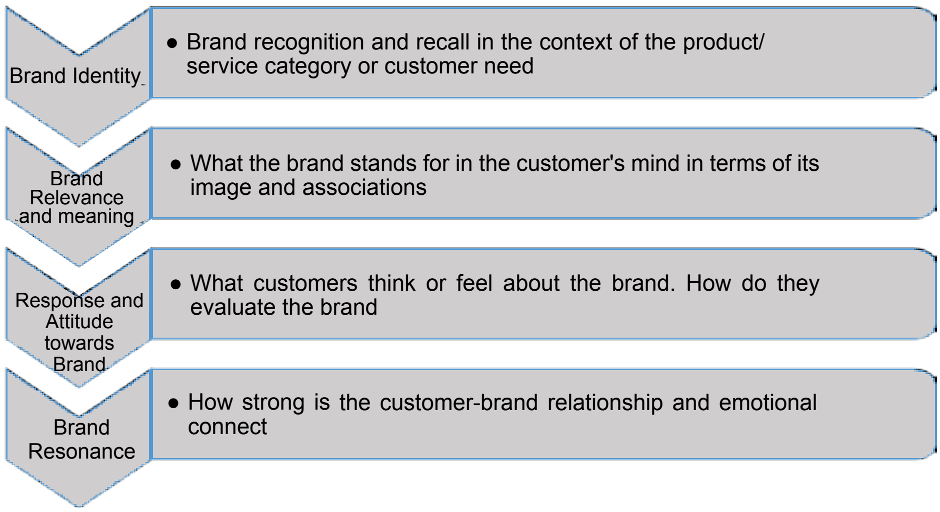
Building a Sense of Community

Identification with a brand community provides customers with strong sense of affiliation to the brand and to other brand users/ employees/ brand representatives. The Harley Owners Group is the most well-known example of a brand community bound by their passion for riding, and it has been a key factor in taking the Harley brand to iconic status. Currently, there are more than 1,400 official H.O.G.™ chapters around the world, with each chapter sponsored by an authorized Harley-Davidson® dealership (Harleydavidson.com, accessed April 2020)

13.3 SUMMARY

A good branding strategy should lead to development of brand with high levels of awareness and recall, strong and unique brand associations, high credibility and quality perceptions and deep emotional connect, leading to high levels of engagement, loyalty, love and commitment. Marketers can use a combination of levers to enhance brand equity. While representations of these levers and steps may vary somewhat across different frameworks, the underlying principles and the basis of enhancing a brand's equity remain as described above in this unit. The following framework adapted from Keller's Brand Resonance Model, summarizes the four broad steps to building brand equity. A brand needs to work on building each of these over time.

Figure 1: Steps for Building Brand Equity



(Adapted from Brand Resonance Model, Keller et al, 2015)

13.4 SELF ASSESSMENT QUESTIONS

1) What are the factors to be kept in mind in choosing brand elements and how do they help in building brand equity?

2) Pick any successful brand (other than those described in this unit) and analyze the levers which have been used to enhance brand equity

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UNIT 14 MANAGING BRANDS OVER TIME AND ACROSS GEOGRAPHIES

Objectives

After reading this unit you should be able to:

- understand the different approaches to building global brands
- learn how to choose between standardized vs customized marketing strategies
- explore the strategic options for managing brands over time.

Structure

14.1 EXPANDING TO INTERNATIONAL MARKETS

According to Interbrand, the World's leading brand consultancy firm has named Apple, Amazon, Microsoft, Google and Samsung are the world's top five most valuable brands of 2021 followed by Coca Cola, Toyota, Mercedes Benz, McDonald's and The Walt Disney Company. All of these are big global brands with a wide geographical footprint. In fact, all top 100 brands in the Interbrand list have a significant international presence. The reasons brands-expand to international markets can be varied and can include one or more of the following:

- Saturation in domestic market
- Increased competition in domestic market
- Untapped potential in international markets
- Global mobility of target customers
- Reduction in costs due to economies of scale
- Reduction in business risk

Phases of Internationalization

While some brands in sectors like technology products or luxury brands may start with targeting a global customer base, most brands start with a domestic focus and then expand internationally. Initial triggers for international expansion could be those listed above. Due to any of these reasons the brand may decide to explore markets in other countries. The first step then is to identify the country/ countries the brand can enter. This will be decided based upon the market potential, ease of entry, ease of doing business, the needs and preferences of the target segment in these countries, level of competition, ability to service that market, etc.

Having selected the country/ countries to enter, the next step is to select the mode of entry, which can vary from setting up full scale operations in the host country to marketing tie ups with a local partner, depending on the market potential, investment required and degree of control required. For example, Apple initially established only a marketing presence in India and only after few years did it set up a manufacturing base in India with a contract manufacturer. Firms may also choose to initially enter a new country with a limited product range and subsequently take a decision on the timing of entry for other products in its portfolio.

Post the first phase of initial market entry comes the second phase of local market expansion, where the firm starts tailoring the marketing strategy for its brands to better align with the local market. Over time it may also develop or acquire new products for the local market outside of its domestic portfolio. If you recall Nokia launched a low price range of mobile handsets especially for the Indian market to increase brand penetration and capitalize on the demand from the low affordability segment. While in phase one the brand generally offers its original product as it was sold in the home country, in this phase some features or attributes of the brand offering can be tweaked to cater to local tastes and preferences. Also while in the early phase the entire marketing strategy and expenses are managed by headquarters in the home country, in phase two as the brand starts to grow in the new (host) country, the marketing expenses begin to be shared with the host country operations bearing and managing at least some of the distribution and communication activities.

As the brand becomes well established in the host country and gains experience of managing international markets, it may decide in phase three to enter other countries and expand its international footprint. As the brand establishes its presence in multiple markets and grows its portfolio in each of these markets, it reaches the fourth phase of global rationalization which involves co-ordinating some aspects of the marketing strategy across geographies, integrating sourcing and production and taking a global portfolio approach to allocate resources and achieve growth in line with the firm's global objectives. At this stage some of the local market concerns could be overlooked in favour of a more globally aligned strategy.

Global Marketing in Cross Cultural Contexts

Global Marketing propounded by Levitt was based on the premise that the worldwide marketplace has become homogenized and consumer's basic needs, wants and expectations transcend geographic, national and cultural boundaries. Emotions like happiness, mother's love, fear etc are common across the world. Apple's "Think Different" television commercial from the late '90s had global appeal and connected to customers across the world. This campaign spoke about Einstein, John Lennon, Gandhi, and Martin Luther King as the crazy ones who contributed to "pushing the human race forward" and highlighted that "the people who are crazy enough to think they can change the world are the ones who do."

While there is some commonality of values and visual representations across the world, there are many differences as well. For example,

- the colour blue represents warmth in Holland, death in Iran, coldness in Sweden and fresh and pure in India.
- dominance of the husband is found to be stronger in Turkey than in the USA for family purchase decisions (Kaynak and Kucukemiroglu 2001).

Lack of understanding of cultural differences can lead to marketing failures. For example,

- during the early years in Japan, a P&G campaign for Camay soap which showed a Japanese husband in the room while his wife was bathing, ended up alienating its customers, as the Japanese found it distasteful.
- A soft drink was introduced into Arab countries with an attractive label that had stars on it--six-pointed stars. The Arabs interpreted this as pro-Israeli and refused to buy it.
- PepsiCo advertised Pepsi in Taiwan with the global theme "Come Alive with Pepsi". But the literal translation of the slogan meant, "Pepsi will bring your ancestors back from the dead"! (Swallow, 2009).

14.2 APPROACHES TO GLOBAL MARKETING: STANDARDIZED VS CUSTOMIZED

When a brand operates across multiple geographies, it needs to choose its strategic approach. On one hand is a completely standardized marketing strategy with a same brand, identical positioning, identical offerings and benefits, same pricing and distribution strategies and same communication across all geographies. On the other hand, is the customized approach, where brands retain their core essence but customize other elements of the marketing mix to better align with local cultures and preferences.

Advantages of a Standardized Approach

1) **Cost Savings: -** A standardized approach to branding strategy will lead to economies of scale. If there are no variations in the product specifications, then sourcing can be common, it may also be possible to centralize production in a few locations for lower cost and consistency in quality. With brand positioning and communication is standardized, each country need not create individual brand campaigns, leading to significant savings in terms of spends and manpower.

2)

3) **Utilization and transfer of know how**: - With standardization, country managers can share ideas and experiences easily and thus help in faster development of marketing strategies and programs for global brands.

4) **Uniform image of quality and service**: - Customers see the same images, product descriptions and more no matter where they are avoiding contradictions or dilution of brand image. This is especially important for brands with customer base with high global mobility. Their experience with the brand would remain the same irrespective of the geography. A standardized approach also helps in transfer of positive attributes/associations across multiple markets.

5) **Easier co-ordination and control**: - With application of uniform standards across nations, a standardized approach helps in better coordination for the global brands. Global brand teams can easily manage multiple geographies with smaller support teams in each region. Uniform guidelines and performance standards make it easier to monitor and ensure adherence.

Standardized Example: Apple

Apple, the most valuable Global Brand (Interbrand, 2021) has always followed a highly standardized approach to product design, with identical products in terms of design and performance across all geographies. Apple stores worldwide also maintain the same look and feel to a great extent, but there is some level of customization in the service protocol and on the website content to suit local requirements.

Advantages of a Customized Approach

1) **Catering to differences in customer characteristics:** Global brands can incorporate the needs of customers in different markets more naturally, be it differences in customer characteristics or response patterns. Their socio-cultural values, lifestyles and desired associations can be targeted better.

2) **Government regulations and restrictions:** Sometimes product/ advertising rules and regulations and government tariffs require customization. Different standards and quality norms for products/ services may necessitate changes to the brand offering. For example, different countries have differing voltage requirements for electrical appliances. Laws relating to environmental compliances can also differ across countries. Tariff structures across geographies for inputs and/ or finished products can vary forcing an adaptation of the pricing strategy.

3) **Differences in marketing infrastructure:** Lack of well-developed marketing infrastructure in some geography can necessitate changes in the distribution and communication strategy. For example, in India some regions do not have access to electricity and mass media like TV. So brands may spend a greater proportion of marketing spends on outdoor advertising like wall paintings. Unilever reached out to media dark regions in Bihar with the award winning "Kaan Khajura Station"

campaign where people could give a missed call on a given number and then receive a call back where their choice of songs would be played on the mobile interspersed with ads of Unilever brands.

4) **Local competition-** Depending how the local brands respond to competition, the strategies for global brands can shift. Type of competitors may also be different. For example, while Surf was competing with Ariel in most markets, in India it was attacked by small value for money brand Nirma. Therefore, its marketing strategy had to be adapted to counter the threat posed by Nirma, leading to the creation of a highly localized "Surf ki kharidari mein hi samajhdari hai" campaign.

Customization Example: NETFLIX

International expansion has been a key business driver for Netflix. Asia Pacific has been a major growth area for Netflix and its success in large part has been due to its highly customized approach. Zameczkowski, Vice president for business development in APAC at Netflix, was quoted by CNBC (Choudhury, 2020) as saying that since this region was primarily mobile first, they focused on mobile-only plans in India, Malaysia, Indonesia, the Philippines and Thailand. The pricing strategy also differed with the mobile only subscription following penetration pricing at below \$5 a month, as against premium pricing in United States about \$14 standard subscription costs. The Rs 199 (\$2.68) per month plan was introduced in India in 2019, enabling subscribers to watch Netflix on a smartphone or tablet at any one time. Content creation is also highly customized in each geography, with the company making heavy investments in the production of original local content. Shows like Sacred Games and Bombay Begums in India have gained immense popularity with the local audiences.

14.3 PLANNING THE GLOBAL MARKETING STRATEGY

It would generally be difficult to follow either a completely standardized or a completely customized approach, with significant risks in both strategies. Branding strategy for global brands would fall somewhere between the full standardization to full customization spectrum. A carefully thought through tailored approach is required towards each element of the business system and marketing programme. As it is said, brand need to "Think globally. Compete locally. Sell personally".

Quelch and Hoff (1986) designed a matrix to help managers plan their global marketing strategy. Below diagram helps you in understanding how brands A and B can adopt different marketing strategies when approaching global markets. While brand A follows a more customized approach, Brand B favours a more standardized approach. But the extent to which each element needs to be customized / standardized needs to be determined based on the brand objectives and the strategic priorities of the organization. Brands can also vary their strategy from region to region. In Table 1 below, Brand A follows a more customized approach in Country Y as compared to Country X.

Global Marketing Planning Matrix					
		Customize		Standardize	
		FULL	PARTIAL	FULL	PARTIAL
BUSINESS FUNCTIONS	R & D			A	B
	Manufacturing		A	B	
	Finance & Acct			A	B
PRODUCTS	Cultural sensitivities		A		B
MARKETING MIX ELEMENTS	Product Design			A	B
	Price		A	B	
	Promotion		B		
	Distribution	A	B		
REGION	Country X			A	B
	Country Y		A		B

Adapted from Quelch and Hoff (1986)

14.4 FACTORS DRIVING CUSTOMIZATION

I. In deciding the degree to which each element in the marketing mix should be customized for global brands, organizations need to consider multiple factors. While designing the international product strategy for instance, marketers may simply to decide to extend the existing product line in the new products that is they gradually bring in products from their home market into the new markets. For example, regular Coca Cola was launched in India first, followed later by Diet Coke.

II. Brands could also offer modified versions of their existing products/ services. For example, the very popular Barbie Doll is offered in multiple looks and costumes to help children of different race and cultures identify with her.

III. Sometimes brands may expand their portfolio with new offerings to cater to local demand or to conform to local laws. For example, Colgate introduced Colgate Salt and Colgate Vedshakti in India to tap into the high demand for toothpastes based on natural ingredients and ayurvedic benefits.

Product and Packaging Customization

Factors influencing the product customization decisions include:

- Nature of Product (for example consumer goods may need more customization as compared to industrial goods)
- Stage of Market Development (if the new market is at a very nascent stage of market development as compared to the home country, a different product offering may be required)

- Costs involved in customization
- Legal requirements / industry norms (example indication of shelf life, different voltage requirements)
- Nature of Competition (Basis of competition can differ in different regions, necessitating enhancement or reduction of certain features)
- Availability, preference and cost of support systems (distribution channel, transport systems, storage technology)
- Physical Environment (climate, topography etc)
- Market Conditions (cultural differences, economic prosperity & customer perceptions, tastes and preferences)

Examples of product customization:- In addition to customizing the messaging for its high performance brand Surf to counter local low priced competitor Nirma in India, Unilever also launched a new lower priced detergent brand Wheel positioned directly against Nirma. Mc Donald's restaurants in India, offer many vegetarian options which have been developed only for the Indian market to cater to the preferences of the local population a large percentage of who are vegetarian. As highlighted in the earlier section, Netflix offers a mobile only subscription plan as Indian market stage of development with respect to household wifi penetration and laptop/ smart TV penetration is in the early stages of adoption.

Factors impacting packaging customization include:

- Purchase/consumption patterns (influences pack size and container type)
- Cultural sensitivities (pack design, colour scheme, symbols, logos)
- Local language labelling
- Climatic conditions
- Safety and environmental concerns
- Type of Distribution channels
- Government regulations

Examples of packaging customization:-Include the modification of labels for food products which include a green dot for products with only vegetarian ingredients, and inclusion of information on "Best Before" date, in conformance with Indian laws. Castrol, the leading lubricants brand in India, added a hologram seal on its containers to avoid pilferage/ adulteration of the lubricant. While US customers buy many household products in bulk preferring large pack sizes, in India many consumers prefer purchasing smaller pack sizes. In some cases, like shampoos and sauces, sachets have been introduced by many brands especially for the Indian market to increase penetration and make their brand accessible to customers in the lower income bracket.

Modification of Pricing and Distribution Strategies

Factors impacting pricing strategy include:

- Demand conditions and price sensitivity in different markets
- Competing and substitute products available in the local market

- Relative emphasis on cost leadership vs differentiation
- Differences in local factor costs, shipping, freight, distributor margins etc
- Government regulations and duties

Examples of modification of pricing strategy: - When Revlon entered the Indian market in 1990s, its cost of production was much higher compared to local competitors, due to smaller volumes and higher quality inputs. Also global brands had a higher quality perception and an aspirational element at that time, therefore, Revlon adopted premium pricing in India even though it was a mass brand in its home market of USA.

The need to increase penetration in small towns and rural areas, amongst consumers with lesser ability/willingness to pay, Coca Cola in India launched a Rs 5 pack size in early 2000's, helping them expand their consumer base considerably.

In addition Amazon and Uber are examples of global brands which modified their payment terms to accept cash payments due to preferences of Indian consumers. Many global pharmaceutical brands have to offer lower pricing in India due to government caps on maximum price for certain categories of drugs.

Factors impacting distribution strategy include:

- Differences in customer purchasing patterns and desired services
- Competitor control over channels
- Technological sophistication of channel members
- Fragmentation of distribution
- Government regulations (location of stores, protection of small retailers etc)

Examples of adaptation of distribution strategy: - Petrol Pumps generally account for a large percentage of lubricant sales. However, in India since all petrol pumps were under the control of public sector oil companies which sold their own brands of lubricants, Castrol developed a completely new distribution channel, selling lubricants through spare part shops and local garages.

Many global brands which were early entrants in the Indian market for frozen foods, had to limit distribution of their products due to underdeveloped cold chain warehousing and transport facilities. When the camera film brand Kodak first entered the Japanese market, many distribution points like railway stations were blocked by Japanese competitors, so Kodak adapted its distribution strategy in Japan by focusing on small photo studios.

Communication Strategy Customization

Factors impacting customization of communication strategy

- Consumption Patterns
  - Different target customer segment / influencers
  - Purchase habits and usage behaviour

- Psychological Characteristics

- Psychological, social, economic factors influencing purchase
- Symbolic Contexts
- Stage of market in product adoption cycle
- Conflict of global approach with past communication in local market

- Cultural Criteria
  - Societal restrictions on use of a product /service in any form/ by any age group
  - Interference of usage with tradition
- Government regulations
  - laws on surrogate advertising, depiction of children in ads, comparative advertising, etc

Examples of customization of brand positioning and communication: - E-commerce in India had limited penetration due to hesitation on part of consumers who were used to buying from the familiar kirana store next door and perceived e commerce purchases to have high risk. To counter this Amazon launched the "apni dukan" (our own shop) campaign, providing re assurance to first time online shoppers, reducing the foreign association with use of colloquial expressions and reducing risk perception by highlighting features like easy return.

Kit Kat's core messaging across the world has focused on "taking a break". However, consumer research in Japan revealed that the kind of breaks shown in the Kit Kat ads were not considered good breaks. For the Japanese good breaks were those which helped relieving stressed and the biggest stressors for young students were exams. Nestle Kit Kat leveraged the local practice of giving good luck charms to those struggling to overcome a challenge. The marketing team identified "juken", an entrance exam faced by high school students, as an opportunity to engage with its young customers. The name Kit Kat in the Japanese Kyushu dialect is pronounced "kitto katsu" which means "to surely win". In 2002, Kit Kat made this its key messaging platform, leading to high visibility in stores and mass media. Special packs were launched, designed to be gifted as good luck charms to students preparing for the juken exam. These special packs also provided a space to write personal good luck messages. This strategy was hugely successful leading to a 150 percent increase in sales year on year between 2002-2007 (Sugai and Sossna 2017).

Approaches for Global Communication Strategy

Brands can choose from amongst different approaches for their global communication strategy. They may stay with a largely standardized communication like Benetton, or go with largely independent local campaigns like Nestle. A third option is adopting a pan-regional approach where same theme can be used across a given region with some similarities in culture. For example, Master Card's "for everything else there is Master Card" campaign used the same creatives for the Asia Pacific region. A fourth approach is to go with standard themes but contextualize it with local contexts/ language/ models. For example, McDonald's launched the "I'm lovin it" campaign globally but in each country the same theme was depicted using local contexts. A fifth approach to managing communication strategy for global brands is for the headquarters in the home country to issue approved guidelines related to brand communication and then allow each country to design their own communication.

14.5 DEVELOPING A GLOBAL BRANDING STRATEGY

Global brands are a term generally used to refer to brands which are known and distributed across multiple countries. There are three distinct facets to a brand- a concept, a name and a product or a service. Kapferer (2005) used a combination of these three facets to postulate seven strategic options/ alternatives on the continuum of globalization to customization (Table 2).

Table 2: The 7 patterns of Globalization

	Strategy	*Examples*
Type 1	No adaptation	Luxury brands
Type 2	Different positioning strategies	Ford Fiesta is a small car in German market but considered a family car in Portugal. Knorr soups positioned itself as a healthy snack for satisfying hunger at non meal times like evening or late night, as soups were not a regular part of meals in Indian homes
Type 3	Introduce important product adaptations	Colgate has launched a number of toothpastes variants in India based on natural ingredients with ayurvedic benefits.
Type 4	Different positioning and offerings when brands are split between companies	Nestle markets Gervais as an Ice Cream brand, while Danone offers a range of dairy products under the same brand name.
Type 5	Different brand names in different countries due to legal or cultural reasons	Burger King is called Hungry Jack's in Australia. P&G's brand of sanitary napkins is sold under the brand name in most of the countries but in India and some Asian countries the brand name was changed to 'Whisper", due to the secrecy and embarrassment associated with periods in these cultures.

Type 6	When almost similar products are sold under two world brands with different price positioning	High end Volkswagen cars are priced similar to Audi entry level models
Type 7	Operating with local brands	Thums up was purchased by Coca Cola to increase market share in India. Darlie a leading toothpaste brand in the Chinese market was purchased by Colgate to strengthen its presence in China.

Adapted from Kapferer (2005)

14.6 HOW TO MONITOR AND MANAGE BRANDS OVER TIME

Brands become successful based on the value they provide to customers and the relationship they build with them over time. Through these functional, emotional and/ or self-expressive elements of value they create for the customers, brands differentiate themselves and create competitive advantage. However, the meaningfulness of this value or the competitive advantage can erode over time due to multiple factors. These include changes in technology, changes in the environment, changes in customer needs and preferences and / or changes in competitive offerings. Therefore, marketers need to create additional sources of value to remain relevant to the customer. They can look for opportunity to add value. The answer lies in observation and customer insighting. Marketers should not look only at the purchased and consumption of their brand, but they should take a wider view of the customers' life and what role their brand plays in it. Mapping customer journeys is a useful place to start to identify pain points and potential value gaps. Sometimes the value gaps and customer needs may not be immediately apparent. In such cases in depth insighting, helps marketers identify the underlying rational and emotional needs of the customer. This understanding can then be used to see how the brand can fulfil these needs in a manner better than before and better than competition. Sometimes a brand may have become very successful on the strength of its strong positioning. However, what was once meaningful, relevant and differentiated may no longer remain so, necessitating a re look at the positioning. Either positioning can be deepened to make it more meaningful or it can be modified to appeal to the evolving customer.

In order to sustain brand equity, marketers need to ensure that there is high brand awareness and knowledge and the desired brand associations are strengthened over time. While looking for new sources of value, it is important to protect the existing sources contributing positively to the brand's current equity.

14.7 LEVERS FOR SUSTAINING BRAND VALUE

In order to sustain brand value over time, marketers can work with one or more of the following levers:

- Changing the Basic Product offering
- Augmenting the Product offering
- Changing Pricing Strategy
- Changing Distribution Strategy
- Changing Communication and/or Positioning

While working with the first four levers, will lead to change in the actual value delivered to the customers, the last lever is focused on change in the perceived value, without necessarily changing actual value.

In addition to identifying the levers for sustaining value, marketers also need to decide which segment would these levers be applied to? They could either focus on existing customers or new customers. New customers could also be further divided into those who are new to the brand (users of competitive brands) or those who are new to the category itself (non-users or users of substitute products).

Choice of the lever and the target customer group would depend on the reasons for the erosion of value and the brand's objective. For example, if a brand is losing its customers to higher performance alternatives it may wish to work out strategies to enhance brand relevance and performance for existing customers to increase stickiness. However, if the brand has reached saturation in the current market segment, then it may need to appeal to a broader/ new segment to sustain growth.

By putting together, the levers with the intended segment, a planning grid can be created to help marketers list multiple options and choose the most appropriate one.

	Existing segment	**New segment (for brand)**	**New segment (for category)**
Change in actual value to consumer			
Modify/Augment existing product/ service			
Launch new product/service under existing brand (extensions)			
Change pricing			

Modify/create/ leverage new distribution channels			
Change in Perceived value			
Modify communication/ positioning/image			

Source- Sharma R.W (2007) Rekindling Brand Growth: Three Brand Stories,

14.8 NEED FOR AUGMENTING THE BRAND OFFERING

In order to sustain value and ensure growth, brands could look at improving their product/ service, adding new products and / or adding new customers. Adding to the brand offering can also help the brand create new sources of brand equity by moving into new territory. For example, as health concerns became more prominent, McDonald's added healthier options to its menu and promoted its breakfast meals to broaden its association beyond greasy fast food. Since McDonald's is already associated with kids, family and fun, extending the brand to family motels or amusement parks could also be considered in future to find new directions for the brand.

Augmenting the offering for existing customers -Product modifications/ additions could be designed to target more revenue from existing customers. This will help the brand expand to other areas of the customer's life and strengthen its ties with the customer. For example, amazon prime was started as a way to provide additional value to loyal amazon customers. In addition to getting free and quick delivery, prime members could also get additional offers and access to the prime entertainment services, thereby creating more value for customers, increasing their engagement with amazon and deepening the differentiation with competing e commerce brands at a time when offering wide variety and promotional offers became more a hygiene factor than a differentiator.

Another example is that of Asian Paints, which looked at the customer journey and tapped into a new opportunity to create value- offering painting services and design inputs to its customers. The brand is no longer only about good quality paint, but more of an enabler in creating happy homes through personalized end to end customer experiences. Such a strategy can also be used by business to business brands. For example, Cummins augmented its products by offering cloud based analytics and monitoring services for its engines, thereby reducing downtime and expenses for the customer.

A third example is that of Cadbury's chocolates which created new sources of equity, by extending the brand into the realm of traditional sweets by creating gift boxes for different occasions and promoting the use of chocolates to celebrate with the “Khuch meetha ho jaye” (lets have something sweet) campaign. This initiative gave a new growth spurt to the brand and increased consumption occasions for existing customers as well pulling in more customers.

Augmenting the offering for new customers- Maruti Suzuki, the leader in the passenger car market in India, was very strong on the value for money association but this association while strength also became a weakness as customers moved away to other brands when they decided to upgrade to more premium cars. Buyers of other brands also did not switch to Maruti for their next buys. In order to attract buyers looking for a better more aspirational experience, Maruti launched Nexa for distribution of selected models. Nexa showrooms were designed to create a superior customer experience with great ambience and prersonalized service.

Similarly, Philips Lighting introduced the T Bulb- which was an innovation in linear lighting (battens/ tubelights). Most automobile companies have also begun to add electric cars to their portfolio given the shift in favour of environment friendly options. For the segment of customers who did not buy tubelights because of additional effort involved in the installation and the bulky looks, T bulb offered a good solution because it could be fitted into the existing bulb socket.

While the brand offering can be augmented by enhancing features or adding new products and services, additional value can also be created through networks and collaborations to enhance the overall customer experience and removing pain points in their journey. A good example of this is the collaboration between electrical product brands like Phillips with tech brands like Alexa and Google. As a result of such tie ups customers can connect and control their smart appliances and lighting solutions through Alexa / Google Assistant, taking the customer experience to another level and helping the brand enter a new market space.

14.9 THE PRICING AND DISTRIBUTION LEVERS

Over time customer criteria for product choices may change, changing the relative importance of pricing in the customer’s brand choice. Or influencers and decision making roles may change. In such cases a change in the pricing strategy can help a brand retain its customers or expand business with them.

For example, when decision making power shifted from doctors to hospital administrators in the UK, Baxter which was the leader in renal care fluid bags started losing market share to lower price competitors. Since cost saving was important for the hospital administrators, Baxter decided to offer lower and uniform prices for different types of fluid bags and also provided support services like trained nurses, patient training etc to hospitals thereby bringing down their cost. Baxter agreed to settle for only part of the business but insisted that the patient assigned to them should stay with them for the complete treatment. With more efficacious solutions, Baxter treatments enabled the patient to survive better bringing down total cost of treatment.

Baxter was able to add value by managing the total cost of treatment rather than focusing only on the per bag price. In order to strengthen its value for money proposition and attract customers with lesser ability to pay, Maruti had come up with a very successful instalment pricing campaign where customer could pay in easy instalments of INR 2599/-.

One of the sources of enhancing value for customers is to make it easier to buy and use the brand offering. Distribution can also be leveraged to attract new customers by lowering their barriers or pain points. For example, for customers averse to buying from online sites, the introduction of try and return facility helped in convincing them to try the service. In order to spur growth in rural areas in India, Unilever started a unique distribution programme called i-Shakti where rural women were recruited as agents to educate and sell products to other women in nearby villages. By improving accessibility, Unilever was able to deliver value to this group of untapped customers, thereby creating value for the company itself.

14.10 THE COMMUNICATION LEVER

The communication lever is a very powerful lever available to marketers as it helps to demonstrate value and make/ keep the brand relevant. In order to sustain value for existing customers it is necessary to continuously strengthen and refresh existing associations and deepen the emotional connect with customers. It is also important to ensure that brand image stays aligned to the self-image of customers.

An example of refreshing associations and ensuring alignment between brand image and self-image is the evolution of the brand communication with changes in societal norms and evolution of the customer perse.

Fair and Lovely, India's leading fairness brand is a case in point. Initially the brand messaging revolved around the girl wanting to look good for a prospective groom or for her husband, but as the target customer evolved the brand too updated itself.

Fair and Lovely started highlighting the confidence it gave to girls to achieve what they want. From a marriage context the brand moved to a career context. More recently as there was increasing discourse against discrimination on the basis of skin colour and promotion of stereotypical beauty standards, Fair and Lovely moved away from its core benefit of fairness to a more generic benefit of glowing skin.

Deepening emotional connect is a must do if brands wish to stay strong over time. While Coca Cola's global messaging from 1970s to 1990s, focused largely on the cola itself with campaign themes like "It's the real thing", Can't beat the real thing" and "Always Coca Cola". In 2009 the Open Happiness Campaign moved towards deepening the customer connect by moving the focus from the drink itself to the joy of celebrating spontaneous moments of happiness. As part of this campaign, Coca Cola Hug Machines was installed in strategic locations like universities. These machines were labelled with "Hug Me," in the logo font. When people stepped up and hugged the machine by squeezing its sides, it would dispense free coke much to the delight of everyone. According to Leonardo O'Grady, ASEAN IMC Director, The Coca Cola Company, "The strategy was to deliver doses of happiness in an unexpected, innovative way to engage not only the people present, but the audience at large" (Kosner, 2012). This campaign also provided a huge opportunity to enhance conversations and visibility on social media. When brands enhance engagement and foster love and warmth it binds the customer very strongly and makes it difficult for a competing brand to break in. While functional benefits can be replicated, it is very difficult to negate or break emotional bonds which brands forge with their customers.

Changes in positioning and messaging can also be used to make the brand relevant to non-customers, thereby expanding customer base and ensuring growth. This approach is also useful to enhance relevance for the target customers by neutralizing negative associations and / or adding new associations.

For example, in the 1980s Saffola was positioned as premium cooking oil for people with heart problems. This was a very successful positioning, highly relevant and strongly differentiated. Saffola witnessed good growth and dominated this niche.

However, as the niche neared saturation, Saffola needed to find other avenue to sustain brand growth. It decided to broaden the target group slightly and shift the brand from a therapeutic (treatment oriented) to a preventive positioning.

In line with this positioning the communication campaigns centred on the message to using Saffola to keep the heart healthy. While the brand kept to its core of heart care, it broadened its association to preventive heart care. To make the brand more likeable and reduce negative associations of hospitals and aloofness, the brand also worked at building a more positive and approachable image, showcasing happy family situations with a dash of humour.

14.11 SUMMARY

Effective Brand Management entails not only successfully launching a brand but also designing strategies to manage the brand over time and across geographies. The underlying principles of staying true to the brand promise and creating value for the customer remain the foundation of branding strategy. However, marketers need to adapt to different cultures and environment and different stage of development of the market in order to ensure relevance and differentiation.

Some level of customization is required for most global brands, but which elements of the marketing mix and decision making process need to be customized and to what extent depends on a number of factors. Based on the combinations of customization of one or more of the three facets of a concept, a name and a product or a service, Kapferer has outlined seven strategic options for global branding strategy.

Brand management involves taking a long term view to maintain and enhance brand equity over a long period of time. In order to continue to create value for customers and the firm, the brand needs to proactively track changes in the environment, customer preferences, technology etc and take steps to reinforce existing sources of brand equity and / or find new sources of brand equity. In order to sustain growth, brand could enter new territory, increase usage of existing customers and/ or pull in new customers. This can be achieved by expanding the depth and breadth of brand awareness leading to increase in quantity and frequency of consumption and usage and also by strengthening the favourability and uniqueness of brand associations which helps to bolster fading associations, neutralize negative associations and create new associations (Keller 2015).

4.12 SELF-ASSESSMENT QUESTIONS

1) What are the advantages of a standardized vs customized approach to building global brands?
2) Describe with examples any 5 factors influencing the extent of customization required in different geographies.
3) What are the seven strategic options for global branding strategy?
4) What are the 5 levers which brands can use to sustain value over time? Describe any two of these with examples
5) In order to maintain or enhance brand equity over time, explain how can brands can leverage existing customers and how they can tap into new customers.

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UNIT 15 MEASURING BRAND EQUITY

Objectives

After reading this unit you should be able to:

- appreciate the need for measurement of brand equity
- understand how to measure and track brand equity
- discuss the different approaches for brand valuation

Structure

15.1 INTRODUCTION

Developing and building brands will entail considerable investment and therefore it is important to measure if this investment is leading to the desired outcomes. Measuring brand equity can help an organization understand if their brand strategy and spends are in the right direction. It can also help in planning future brand strategy and identifying the optimum ways to invest in building a strong brand. It is said that a brand is owned by a consumer. Therefore, it is important to understand what space the brand occupies in the hearts and minds of consumers. How strong is the brand awareness? What are their thoughts, feelings and associations towards the brand? Insights into how well the brand is known and what it is known for can help marketers make strategic changes which can lead to better success in the marketplace.

In the earlier units, the components of Brand Equity as defined by Aaker (1996), have been described as follows-

- Brand Awareness
- Perceived Quality
- Brand Associations
- Brand Loyalty
- Other Proprietary Brand Assets

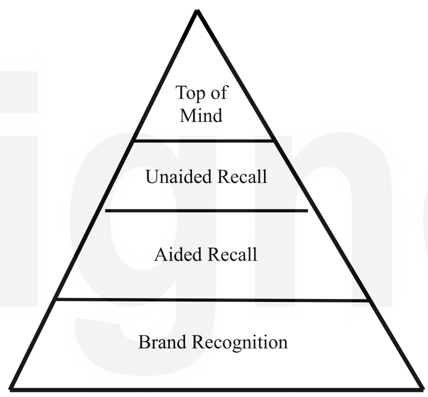
To measure Brand Equity, we need to measure each of these components.

15.2 MEASURING ELEMENTS OF BRAND EQUITY

Brand Awareness

Brand awareness indicates if the brand is recognized and recalled by its target customers. Brand recognition implies that the customer is familiar with the brand due to prior exposure to the brand. However, on its own brand recognition is not of much value as mere familiarity does not mean that the customer has any knowledge about the brand. What is more relevant in brand recall, when the customer is able to recall the brand in the context of its category. Brand awareness can be looked upon as the strength of the brand's presence in the customer's memory. There are different levels of brand awareness-

Figure 1- Levels of Brand Awareness



Unaided recall or spontaneous recall, measures the percentage of people who are aware of the brand and can spontaneously recall it in the context of its category. For example, if Allen Solly wanted to test the level of unaided recall for its range of men's shirts, it would ask respondents to name the brands of shirts they know of. The percentage of respondents, who name Allen Solly spontaneously as being among the first few brands to come to mind, would constitute unaided recall. So if 390 out of 600 respondents name Allen Solly, then unaided recall for the brand would be 65%. This implies that the brand occupies reasonably high salience in the customers' minds. For 65% of the people, Allen Solly is one of the brands they think of when they think of men's shirts. This means that the brand is strongly associated with the category in the customers' mind and has a chance of being included in the consideration set of the customers for purchase of shirts.

Aided recall occurs when the respondent is not able to spontaneously name the brand, but can recognize and associate it with its category. So while there is brand awareness, the strength of awareness is not very high. The brand may not be in the first few brands which come to mind, but is definitely known to the customer. In the above example 390 people out of a sample of 600 spontaneously named Allen Solly as one of the brands of men's shirts. If the rest of the sample were asked if they know of Allen Solly Shirts, and 120 of them said yes, then aided recall would be 20% (120/600). In this case total brand awareness would be 85% (aided +unaided). For 65% the awareness is quite strong, while 20% are able to recollect the brand only on prompting.

A brand is said to be top of mind when it is the first brand named by the customer. This means that the presence of the brand in the customer's mind is very strong with respect to that category. It is the first brand the customer thinks of when the category is mentioned. To go back to the Allen Solly example, if out of the 390 people who mentioned Allen Solly spontaneously, 200 of them mentioned Allen Solly first before listing other brands, top of mind recall for the brand would be 33% (200/600).

A brand will strive to be top of mind in its category for most of its target group. If not top of mind it should at least have high unaided recall. In order to track brand awareness, survey of customers can be carried out periodically. More than the absolute percentage of awareness, change in awareness over a given period would be a useful measure to see the impact of marketing investments in the brand.

Brand managers need to…….

- Track change in brand awareness over a given period
- Track brand awareness relative to key competitors
- Track Purchase Intention / inclusion in consideration along with brand awareness

Perceived Quality

Perceived quality refers to the customers' perception of overall quality as compared to its intended purpose and as compared to its alternatives and substitutes. The quality referred to here is not objective quality or manufacturing quality, it only refers to customers' perception of quality. Perceived quality can be measured through one or more of the following:

- Customer Satisfaction Studies
- Performance ratings (largely perception driven)
- Current usage – brand and category
- Intention to use

The last two are more indirect and supporting indicators, as a customer is likely to use/ be inclined to use a brand only if it of acceptable quality.

Brand Associations

The associations which customers hold for a particular brand contributes to the brand images they carry in their mind. One can elicit these associations by asking customers what they think or feel about a particular brand or one can also take an existing set of associations and test how strong or weak is the brand on each of those associations.

Eliciting Brand Associations- Various qualitative techniques can be used to try and understand what customers associate with a given brand. Some of these techniques which can be used to generate both positive and negative brand associations, as explained below-

1) ***Free Association-*** Ask customers what comes to mind when they think of a given brand. This is the simplest method but sometimes

may be able to generate only limited associations as customers themselves may not be consciously aware of all associations. Other indirect methods listed below may therefore be able to generate richer brand associations.

2) ***Picture Interpretation-*** Pictures of different people or animals or situations can be shown to the respondents and they can be asked to select the ones which they feel are representative of the brand in some way. By asking them why they think so or what made them choose those particular pictures, we can get an understanding of what they associate with the brand. For example- one person may pick the picture of a rabbit and another picks the picture of a cheetah. When asked for the reason behind their choice they say “speed”. So it is clear that they associate the brand with speed.

3) ***Description of the brand user-*** Asking people to describe the typical brand user also gives insights into the brand associations. For example, people may say that macho men who love the outdoors and don’t always conform to rules are typical users of Harley Davidson. These clearly highlight the associations of Harley Davidson in their mind. However, this brand is currently not unavailable in the Indian market.

4) ***The Decision Process and values driving the brand choice-*** A detailed dissection of how customers arrived at the brand choice, their rationale and evaluations are also an effective way to generate insights.

5) ***Description of brand personality-*** Asking respondents to describe the brand as a person is a very powerful way to elicit brand associations. This helps them describe the softer more intangible aspects of the brand. For example, when asked to imagine National Geographic as a human being, people describe someone who is male, in his mid-forties, educated and well informed, straight forward, grounded, environment conscious, loves the outdoors, generally dresses in smart casuals and likes photography and listening to news.

Brand personality can also be measured using existing scales and frameworks, one of which is described below.

Brand Loyalty

Customer loyalty commanded by a brand is a key contributor to the value the brand brings to the firm. Over time the brand’s strategy is to try to strengthen the ties of local or committed customers to the brand as well as the fence sitters. Loyal customers tend to buy the brand repeatedly and prefer it over other brands. There are types of measures used tracking loyalty which are discussed below

- Repeat purchase and continued repeat
- Trial rate
- Preferred Brand

The simplest way to measure loyalty is to look at the number of times a customer buys the brand in question out of total number of purchase occasions in a given period. This is termed as repeat purchase rate. For instance, if a household buys 4 cakes of soaps in a month, and 3 times out of 4 they buy the given brand, they would be considered loyal customers. In case of durable goods this can be extended to customer purchases of different offerings from the same brand. Repeat purchase rates, and continued repeat purchase over a longer period of time is usually the most often used way to measure loyalty. Repeat purchase rates can be measured through records of actual purchase per customer, or through syndicated data of research firms which monitor purchase made by a sample panel of customers over time. In the retail industry instead of simply looking at repeat purchase rate, firms track recency of purchase, frequency of purchase as well as the monetary value of purchase (RFM analysis).

Trial rate or willingness to try new offerings from the brand is another indicator of loyalty. Loyal customers of the brand would be inclined to try out new brand extensions because of their trust and love for the brand. Measuring the percentage of customers' willingness to try new offerings from the brand is therefore a good measure of loyalty. A third more indirect measure is the percentage of target customers who list the brand as their most preferred brand. In case people are buying a given brand because of non-availability of another brand, they will have a high repeat rate but are not really loyal customers as they will switch brands once their preferred brand becomes available. Therefore, along with repeat purchase rate, it is good to look at the preferred brand score and correlate it with actual purchase behaviour.

15.3 FRAMEWORKS FOR BRAND EQUITY MEASUREMENT

There are two available frameworks that can be used to measure the strength of the brand on selected dimensions. Two of these frameworks are discussed below-

1) **Brand Personality Framework**- Jennifer Aaker (1997) has defined five types of brand's personality. For each type she has given a set of adjectives which describe that personality and there is a set of scales rate how strongly the respondent feels that the adjectives apply to the brand concerned.

Figure 2: Aaker's Dimensions of Brand Personality

Adapted from Aaker (1997)

2) **Brand Asset Valuator**- Young and Rubican's Brand Asset Valuator measures a brand's equity along two dimensions which are plotted on a grid termed as the Power grid. These two dimensions listed below cover four Brand Pillars.

a. Brand Strength which covers Differentiation and Relevance

b. Brand Stature which covers Esteem and Knowledge

Differentiation refers to a brand's ability to capture attention. It can help set a brand apart from competition and can be a leveraged to drive advocacy and pricing power. Relevance is about how appropriate and meaningful a brand is to consumers. This can drive brand consideration and trial. Esteem is a measure of how highly regarded a brand is and how well it delivers on its promises. leads to trial and commitment. Knowledge refers to the depth of understanding people have of a brand – both positive and negative thoughts, beliefs and feelings about the brand (bav.com)

Based on the two dimensions of Brand Strength and Stature, brands can be classified as New/unfocused, Niche/ unrealized potential, Power leaders, and Eroding Brands.

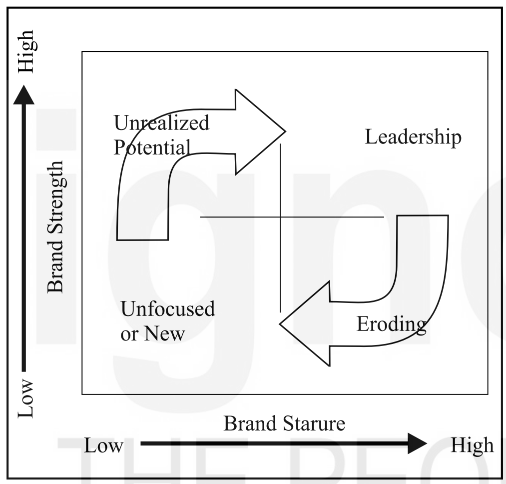
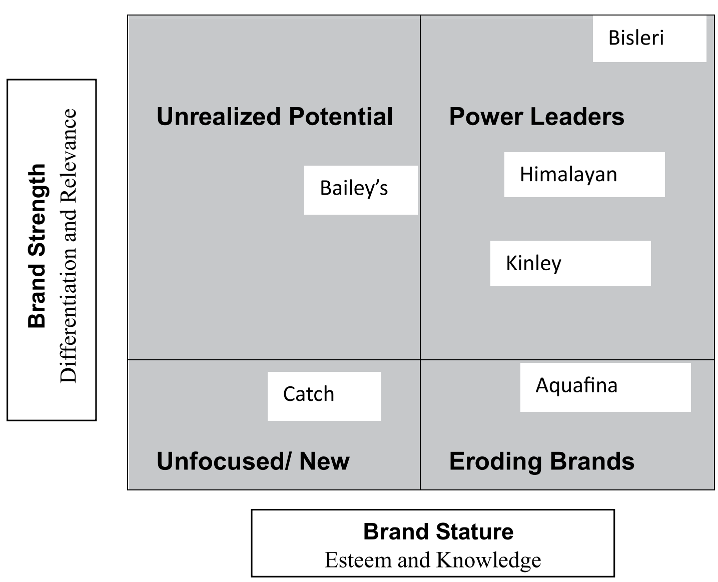


Figure 3- Brand Asset Valuator: Power Grid

A 2012 study on packaged drinking water brands in India, by BAV group mapped the equity of competing brands in this category using he Y&R dimensions of Brand Stature and Brand Strength (Figure 4)

Figure 4- Power Grid for Bottled Water Brands



Source- Economic Times, 28 Dec, 2012

15.4 BRAND REPORT CARD

Brand Managers need to periodically and systematically track and review how their brand is performing on key dimensions. Keller (2000) developed the format for a Brand Report Card using which brands could be rated on ten characteristics. Based on the scores, a brand's strengths and limitations can be identified providing useful input for fine tuning the branding strategy. It would also be a useful exercise to compare a brand's report card with that of its competitors.

For the Brand report card, Keller (2000) identified the following Ten characteristics which are by the world's strongest brands:

i. **The brand excels at delivering the benefits that customers truly desire.** The attributes, of a brand's offering, along with its image, associations, and other tangible and intangible factors, are viewed as a whole by the customers. And these benefits go beyond functional benefits to include emotional and /or self-expressive benefits.

ii. **The brand stays relevant**. Brands need to continue to strengthen areas of their core competency and product performance. At the same time refreshing other sources of brand equity to remain relevant over time keeping pace with changes in environment and/ or customer outlook.

iii. **The pricing strategy is based on consumers' perceptions of value**. Value perception for a brand is formed by a combination of the actual benefits delivered, brand image, additional services etc and pricing needs to be consistent with the customer's perceived value. For example, a lower price offered by a premium brand can damage its exclusivity associations. Similarly, a brand not known for its technical prowess is unlikely to be able to price its tech products at a premium.

iv. **The brand is properly positioned.** Strong brands occupy distinct positions in the minds of the customers. They ensure that they are well differentiated from competition, meaningful to the customers and have a believable brand promise. Brands that are well positioned create points of parity to neutralize competitor's differentiators and create points of difference to have an edge over competitors.

v. **The brand is consistent**. Brands need to ensure continuity and consistency while updating some aspects to remain relevant. Communication needs to be clear with consistent non conflicting messaging.

vi. **The brand portfolio and hierarchy make sense.** Brands at each level of the hierarchy contribute to the overall equity of the portfolio and help in fostering favourable associations.

vii. **The brand makes use of and coordinates a full repertoire of marketing activities to build equity.** Managers need to ensure that all activities of the marketing mix are in sync and build on each other to achieve synergy and enhance brand equity. This includes design of the offering, packaging, pricing, customer purchase and usage experience, service support, user/ usage imagery, engagement opportunities for customers and channel members etc. It is important that brands take an integrated 360-degree approach and ensure that the essence of the brand is the same across all activities.

viii. **The brand's managers understanding what the brand means to consumers**. Managers need to understand all dimensions of their brand's image as perceived by the customer. Brand initiatives need to align with customer perceptions and desires and stay true to the meaning customers derive from the brand.

ix. **The brand is given proper support, and that support is sustained over the long run.** There are no shortcuts to brand building. Building strong brands needs time, effort and investment. Brands need to continuously work at ensuring deep and wide brand awareness along with strong, favorable, and unique associations.

x. **The company monitors sources of brand equity.** Managers need to conduct periodic brand audits and ongoing brand-tracking studies. A brand audit looks at the internal aspects of the brand inventory (an inventory of its marketing initiatives) and the external aspects of exploring what customers think about the brand. Put together the brand audit can be looked at as an indicator of brand health. Tracking studies help analyze the short-term effectiveness of marketing programs and activities, by collecting information over time on consumers' perceptions, attitudes, and behaviors.

While it is important to optimize all ten parameters listed above, this is not always easy to implement. Therefore, brand managers need to periodically score their brand on these parameters to decide on corrective action if any and to fine tune the future brand strategy. The Brand report card scores the brand on each of these parameters on a scale of 1 to 10, (one being extremely poor and ten being extremely good). There are set of questions given for each parameter which help decide the scoring which can be given. Examples of such questions for the two parameters are given below.

Extract from Brand Report Card (Keller, 2000)

"The *brand* excels at delivering the benefits customers truly desire.

Have you attempted to uncover unmet consumer needs and wants?

By what methods?

Do you focus relentlessly on maximizing your customers' product and service experiences? Do you have a system in place for getting comments from customers to the people who can effect change?

The pricing strategy is based on consumers' perceptions of value.

Have you optimized price, cost, and quality to meet or exceed customers' expectations?

Do you have a system in place to monitor customers' perceptions of your ***brand*** s value? Have you estimated how much value your customers believe the ***brand*** adds to your product?"

15.5 NEED FOR BRAND VALUATION

Brand Value refers to the financial value of a brand. Brand equity has been described as a set of assets and we need to put a value to these intangible assets because it helps to justify marketing investments to sustain and build brand image and equity. If brands need to be bought and sold, then the brand needs to be valued separately from the physical assets. Just as physical assets can be used for a long period to produce goods and services, brand have the power to generate future income and reduce marketing risks.

In a study titled Intangible Asset Market Value Study (Tavassoli, 2020) it was found that while in 1985 intangible assets accounted for only around 30% of the market value of S&P 500 firms, by 2020 this had increased to 90%. Brands are a key intangible asset contributing significantly to overall market value of the firm. Therefore, it is important to measure brand value. Interbrand regularly publishes the list of top brands by brand value. In 2020 the top 5 global brands by brand value were as follows (Interbrand, 2020):

1) Apple
2) Amazon
3) Microsoft
4) Google
5) Samsung

The 2021 Best Global Brands recorded the largest brand growth ever, even in the context of major social, economic and technological changes during this time. As per Interbrand, the top 100 brands recorded a total value of $2,667,524 million in 2021, as compared to $2,326,491 million in 2020. The fastest risers significantly outperformed other brands on three factors namely…..

1. ***Direction:*** Set a clear direction. Ensure that the entire organization knows where they are going, and are working towards the same ambition.
2. ***Agility:*** Move fast. Bring new products and services to market quickly, and where necessary, pivot to address changing customer needs.
3. ***Participation:*** Bring people on a journey with you, and make them part of the movement to create an engaging brand world. (interbrand.com)

15.6 METHODS OF BRAND VALUATION

In May 2019, Reliance acquired British toy major Hamleys in a cash deal of $88.6 million. RIL's regulatory filings show that Hamleys reported a net profit $ 3.13 million in FY 2018 after reporting losses of $ 14.8 million in 2017 (Your story, 2019). So why then did Reliance pay such a high valuation for Hamley's? The reason is the potential of the Hamley's a global brand with very high awareness and brand equity. It has very high perceived quality, brand loyalty and strong positive brand associations in the toys category. Thus properly leveraged it can be a strong source of income and growth in the future.

There are different methods to estimate brand value, while some look at the earning potential and market value, others look at the investments made in the brand.

Cost Based Methods

Cost based Brand Valuation can take any one of the following three approaches-

i) Historical Cost

ii) Replacement Cost

iii) Market Value

Historical cost method is used for past investments in building the brand as the basis to arrive at the brand value. While this method is easy it may not be a true indicator of brand value in the current context. Also, if past spends on the brand were inefficient, then again it would not represent actual value (Chandon, 2004).

Replacement cost method take into account the amount of expenditure needed if the brand were to be built to the same stature but in the present day context. For example, if Flipkart brand was to be built now, one would estimate its value by estimating the investment that would be required to build it to the same stature given that the competitive scenario now is much tougher than it was earlier.

The market based approach estimates the differential profits between what the brand earns and what it would earn if the same product/ service was an unbranded offering. While expenditures in case of the branded offering would be higher, it is likely that the revenue would also be higher due to higher price and/or quantity. While price and quantity information for generic vs branded products is available in the marketplace, there is some level of subjectivity involved and data on marketing/ brand building spends may not be easily available. It would be difficult to find a generic product which is similar to the branded product in every aspect expect brand name and price. Dummy prototypes could be used instead in case of a survey, but this is difficult to implement. Another important limitation of this method is that it only looks at current profit and not future earning potential (Chandon, 2004).

Income Based Methods

The income or contribution based method takes into account potential earnings which can be expected from the brand and discounts these to arrive at the present value. This is a good approximation of the brand value as it takes into account future potential. However, the entire income is not attributable to the brand and one needs to have a clear methodology of estimating the income from intangibles and the brand's contribution within that.

Interbrand Method

Interbrand's method of brand valuation takes a combined approach using both financial analysis and contribution. This method is based on three key components that contribute to a brand's cumulative value:

- Financial performance of the branded products and services
- Role the brand plays in influencing customer choice
- Strength of the brand to command a premium price or secure earnings for the company

Each of the above are estimated using the following measures-

i) The Economic Earnings (or EVA)

ii) Role of Brand Index- Contribution of the brand asset to these earnings

iii) Future Earning and Brand Strength- Resilience of the asset (or risk associated with earnings being realized)

As per this method, brand value can be calculated as follows-

Brand Value

= (Earnings from Intangibles (INR) x Role of Branding Index (%)) / Discount Factor (%)

The first step is to identify the major market segment/s addressed by the brand for which valuation is to be done. For each segment financial analysis is undertaken to arrive at the Economic Value Added (EVA) or the component of due to intangibles. This can be calculated by subtracting cost of capital employed from total earnings. Next one needs to determine how much of these intangible earnings can be attributed to the brand. To do this a Role of Brand Index (RBI) needs to be calculated. RBI can vary across industries- for example it may be as low as from 10% for bulk chemicals and as high as 80%-90% for soft drinks and perfumes. Typically, RBI is estimated based on opinion of experts who have a good understanding of the industry.

The third step involves estimating the Brand Strength score, which helps to determine the risk/ uncertainty of future earnings. This is important to arrive at a realistic discount factor. The higher the brand score the lesser would be the risk associated with the future earnings. However, if brand strength is lower, it implies higher risk and therefore a higher discount factor for calculation of net present value of future earnings.

Brand Strength score is calculated on the basis of the following attributes

i. Market Potential

ii. Stability

iii. Leadership Position

iv. Growth Trend

v. Support

vi. Geographic Footprint

vii. Legal Protectability

Each of these attributes are scored against an ideal and a weightage is assigned to each to arrive at the total Brand Strength Score. If for example a brand operates in a growing market and has a leadership position with a wide geographical footprint and strong market support it will have high brand strength and therefore less uncertainty associated with future earnings. The following factors will also impact the brand strength-

- Brand Weight- extent to which the brand dominates the market
- Brand Width- no. of customer categories covered
- Brand Stretch- no. of product categories to which it fits
- Brand Depth- Strength of relationship (loyalty)

The Interbrand approach is the most comprehensive and widely used method brand valuation. While the details of the Interbrand process are proprietary. Several consultants use variations based on the same principles of valuation.

Table 1: Interbrand- Best Indian Brands 2019

Top 15	Brand	Brand Value (INR Billion)	Change
1	TATA	787.22	6%
2	Reliance Industries	428.26	12%
3	Airtel	322.35	-13%
4	HDFC Bank	299.63	14%
5	LIC	280.95	9%
6	State Bank Of India	256.2	3%
7	Infosys	243.67	5%
8	Mahindra	183.89	9%
9	ICICI	169.93	5%
10	Godrej	168.97	6%
11	Maruti Suzuki	154.86	13%
12	Larsen & Toubro	149.91	8%
13	Bajaj Auto	137.28	18%
14	Wipro	134.5	-1%
15	Axis Bank	110.91	5%

Source: www.interbrand.com, March 14, 2019

15.7 SUMMARY

Tracking and measuring brand equity needs to be a continuous process, helping managers get insights on the strengths and limitation of their brands. Each component of brand equity- brand awareness, perceived quality, brand associations and brand loyalty can be measured through a mix of qualitative and quantitative techniques. These measures need to be analyzed over time and with respect to competitors to gain meaningful inputs for branding strategy.

Brand Value refers to the financial value of a brand. This can be measured through a combination of different approaches. While cost based methods focus on the investment put in/ required for building the brand, income based methods use future expected earnings as the basis of brand valuation. The Interbrand approach uses a combination of financial and contribution based approaches and is the most comprehensive method of calculating brand value.

15.8 SELF ASSESSMENT QUESTIONS

1) Which components of Brand Equity can be measured? What are the possible measures for each of these?
2) What do we mean by measuring brand value and how is it different from tracking brand equity?
3) What are the different methods of brand valuation?

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